

This is not the case in the North household. Dr. North and his wife both play active roles in budgeting and spending. They plan together and consult with each other regarding expenditures. We will detail their system. But first let us examine the Souths' situation.

Mrs. South is responsible for purchasing a wide variety of products and services for her household. She did not consult with anyone before spending \$30,000 for clothing last year. She does her thing, and her husband does his. She has her set of credit cards, and he has his.

Mrs. South is a particularly ardent patron of upscale department stores. These include Neiman Marcus, Saks Fifth Avenue, and Lord & Taylor. She carries credit cards for each of these stores. In addition, she and her husband hold a MasterCard (gold) and a Visa (preferred) card. Dr. South also has the American Express platinum card.

What's the problem? Often Dr. and Mrs. South have little or no idea what their counterpart is buying or how much each is spending. This is especially true for soft goods and intangibles, such as clothes, gifts, and entertaining. Both are susceptible to solicitations from everyone from store clerks to financial advisors, from automobile sales personnel to credit officers at banks. If you were one of these people, who would you call? Who would you keep abreast of new product and service offerings? Who would you advise about a special showing of the latest fashions and motor vehicles?

Why does Mrs. South spend so much money? In classic UAW fashion, her husband has encouraged her to do so. He was the product of a high-income-producing, indulgent set of parents. He, in turn, has given his wife almost a blank check when it comes to shopping. And, of course, the Souths associate with other hyperconsumers. But there is something she and her husband don't know. They are unique. They are not typical consumers. No one ever told them that most people in their income bracket, including the Norths, never spend money like the Souths do. Unfortunately, the Souths never learned about the prodigious accumulators of wealth.

The Norths are very different from the Souths in their spending behavior. Both Dr. and Mrs. North come from backgrounds of frugality and thrift. Throughout their marriage they have communicated with each other about resource allocations. Their budgeting system is basic to their controlled-consumption lifestyle. Unlike the Souths, the Norths own no credit cards for upscale department stores. That's right. The North family, whose net worth is more than eighteen times that of the Souths (\$7,500,000 versus \$400,000), holds no cards from Neiman Marcus or